

When young people make investing mistakes, they are not too damaging because these people typically have little in the pot and they have years of work and savings ahead. However, when an older person makes the same mistake, it can be devastating. The papers are full of sad stories about retirees' life savings being wiped out because they put all their eggs in one basket and lost, or perhaps they were taken by the likes of a Bernie Madoff.

Enron Corporation was a highly publicized corporate bankruptcy that resulted from accounting fraud that ruined the financial lives of many people nearing retirement age. You could not pick up a newspaper or popular magazine without seeing an article about a former Enron employee who lost nearly all his or her savings as a result of the company's collapse. Some former Enron workers considered selling their homes just to pay bills. Others were so devastated by the event that they did not know what would become of them. The stories typically included photographs of the victims depicted in a state of despair.

Did the people in this country learn from Enron? No. Over the next decade, thousands of bankruptcies and near bankruptcies claimed the retirement savings of hundreds of thousands of rank and file employees who believed in those companies by purchasing their bonds. Some of those companies are household names, including General Motors, Lehman Brothers, AIG, Bear Stearns, and Chrysler. Will these bankruptcies of too-big-to-fail companies teach others to diversify their investments and lower their portfolio risk using asset allocation? Not likely.

WHY PROFESSIONAL ADVICE DOES NOT ALWAYS HELP

How do you learn about investing and at the same time avoid costly mistakes? One way is to hire a professional investment consultant, if you are lucky enough to find a good one. Hiring an advisor is a hit-or-miss proposition. The range of experience and education in the investment advisor industry is very broad. There are many professionals who are committed to their profession and would be very helpful in setting up an investment plan. And then there are those, regrettably, who would do more harm than good.

The investment business pays an abnormally high salary. Earnings for the typical advisor are on par with a well-paid physician or attorney.